Executive Findings Summary

Northgate Outdoor Supply / Fernhill Mart | 2025 Audit

1. Executive Summary

The reconciliation assessed eight claims from Fernhill Mart against Northgate's independent ledger to identify supported associations and exceptions requiring commercial follow-up.

Of **$6,357.65 claimed**, four claims totaling **$3,624.90** meet the matching criteria (CLEAN_MATCH), while four totaling **$2,732.75** should be disputed or excluded from the batch. A valid match confirms invoice identity, period and amount; a financial concession also requires evidence supporting the commercial basis of the deduction.

2. Result Structure (Output Model)

The register contains one row per claim and four fields: **claim_id**, the unique claim identifier; **matched_invoice**, the associated ledger invoice, or blank when no association is established; **status_flag**, the classification under the business rules; and **note**, a plain-language explanation of the result.

3. Main Scenarios and Findings

Classification	Claims	Amount ($)	Finding and criterion
CLEAN_MATCH	4	3,624.90	Invoice identified, issued in 2025 and amount within the $1.00 tolerance.
AMOUNT_OVERSTATED	1	412.00	The claim exceeds the $380.00 invoice by $32.00.
AMBIGUOUS_NO_MATCH	1	915.75	No invoice reference; PO-5521 has two invoices. The amount cannot identify one.
OUT_OF_PERIOD	1	875.00	Invoice issued in 2024, outside the 2025 audit window.
PHANTOM	1	530.00	Neither the invoice nor the purchase order appears in the ledger.

Formatting differences did not prevent invoice matching. CLM-4408's garbled reference was resolved through a purchase order identifying exactly one invoice.

4. Business Recommendations

• **Accept the associations totaling $3,624.90** (CLM-4401, 4402, 4405 and 4408). Keep financial concessions pending: the ledger shows full payments in three cases and a $0.02 balance in the remaining case. Request commercial and payment evidence before authorizing deductions.

• **Dispute CLM-4403's $412.00** with Fernhill's Accounts Payable or deductions team and request correction and justification of the $32.00 excess. Do not automatically approve the remaining $380.00.

• **Dispute $1,445.75** for CLM-4404 and CLM-4407 until verifiable references and evidence resolve the ambiguity or substantiate the transaction.

• **Exclude CLM-4406's $875.00** from the 2025 batch and assess it separately. Being outside the audit period does not, by itself, establish that the claim is invalid.

Amounts represent the retailer's gross claims; they are not outstanding debt, confirmed losses or guaranteed recoveries.